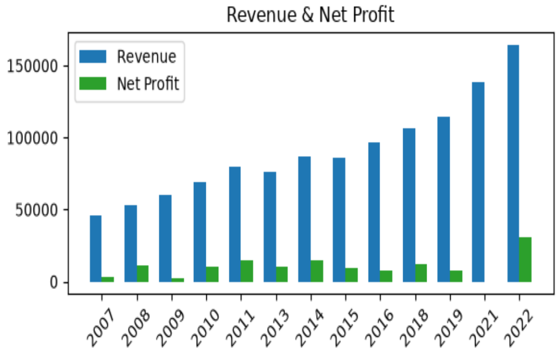
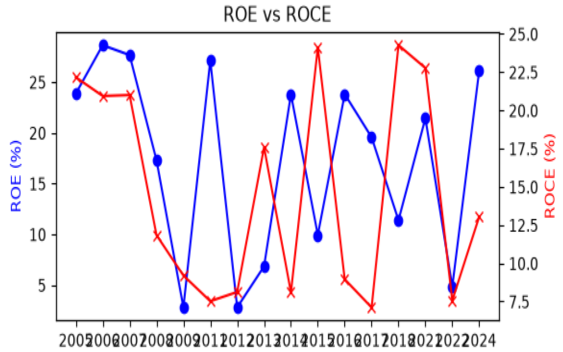
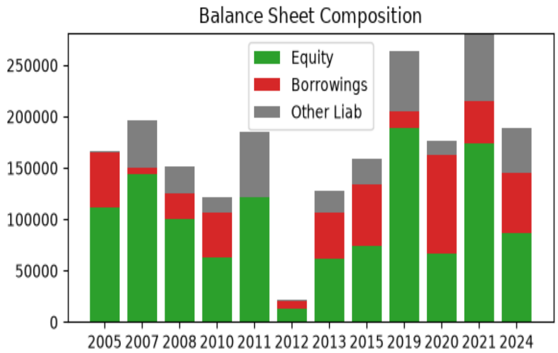
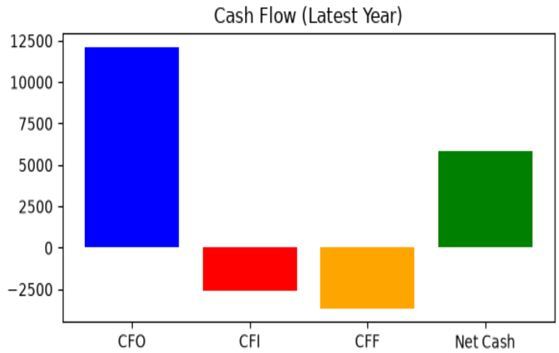
Tata Motors Ltd (TATAMOTORS)

Revenue	Rs. 164536.2 Cr	Net Profit	Rs. 30508.0 Cr	OPM	37.5%
ROE	26.1%	ROCE	13.0%	D/E	2.49









Capital Allocation Pattern: Dividend Payer

Pros:

- Strong free cash flow generation over 5 years signals healthy business fundamentals
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons:

- Debt-to-equity ratio of 2.5 is elevated for a non-financial company and warrants monitoring
- Dividend payout ratio above 100% means the company is paying dividends from reserves, which is unsustainable